

are considered real and the innovation team is allowed to attempt to establish a long-term relationship with them. After all, they may be experimenting with those early adopters for a long time before their learning milestones are accomplished.

Whenever possible, the innovation team should be cross-functional and have a clear team leader, like the Toyota shusa. It should be empowered to build, market, and deploy products or features in the sandbox without prior approval. It should be required to report on the success or failure of those efforts by using standard actionable metrics and innovation accounting.

This approach can work even for teams that have never before worked cross-functionally. The first few changes, such as a price change, may not require great engineering effort, but they require coordination across departments: engineering, marketing, customer service. Teams that work this way are more productive as long as productivity is measured by their ability to create customer value and not just stay busy.

True experiments are easy to classify as successes or failures because top-level metrics either move or they don't. Either way, the team learns immediately whether its assumptions about how customers will behave are correct. By using the same metrics each time, the team builds literacy about those metrics across the company. Because the innovation team is reporting on its progress by using the system of innovation accounting described in [Part Two](#), anyone who reads those reports is getting an implicit lesson in the power of actionable metrics. This effect is extremely powerful. Even if someone wants to sabotage the innovation team, he or she will have to learn all about actionable metrics and learning milestones to do it.

The sandbox also promotes rapid iteration. When people have a chance to see a project through from end to end and the work is done in small batches and delivers a clear verdict quickly, they benefit from the power of feedback. Each time they fail to move the numbers, they have a real opportunity to act on their findings immediately. Thus, these teams tend to converge on optimal solutions rapidly even if they start out with really bad ideas.